

THE SESSION • POST-CLOSE READ

A Narrow Ascent

Amazon's cloud results carried the S&P 500 to a second straight gain while Apple worked the other way and long-bond yields climbed. Both FCI sleeves closed modestly lower on single-name earnings reactions — even as Chevron posted the strongest quarter in the book.

S&P 500 ▲ 0.70%

NASDAQ ▲ 1.00%

DOW ▲ 0.53%

VIX 15.95

BRENT ▼ \$86

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

-0.50%

1-DAY

YTD +19.26% vs DVY +16.01% · SPY +10.09%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.27%

1-DAY

YTD +13.92% vs IUSG +10.32%

THE SESSION

The S&P 500 added 0.70% to close at 7,489.52, and for the second consecutive session the gain belonged largely to one company. Amazon's cloud results carried Friday's tape much as Microsoft's carried Thursday's, while Apple moved firmly the other way on a services shortfall and a supply-constrained September guide. Nasdaq added 1.00% and the Dow 0.53%, but beneath the two headline names the average stock did rather less. The long end offered no assistance: per CNBC, the 30-year Treasury traded near 5.26%, its highest since 2007, and the 10-year moved above 4.7%, its highest since January 2025. The VIX settled at 15.95, gold eased to \$4,107.50, and Brent drifted toward \$86 as tanker traffic through Hormuz picked back up.

Both sleeves finished modestly lower, and in each case the arithmetic traces to two or three single-name earnings reactions rather than to any broad de-rating. **Dividend Strategy** gave back 0.50% against DVY's 0.44%, with Stryker accounting for most of the gap — the company beat on adjusted earnings and nudged full-year guidance higher, but organic revenue growth of 9% landed short of what the market had priced, and shares closed at \$325.70. **Growth Portfolio** eased 0.27% while IUSG added 1.37%, a spread attributable almost entirely to Edison International and NXP Semiconductors. Against those, Chevron closed at \$196.88, up 2.38%, on the strongest set of quarterly figures the position has produced.

A session the index wins and we do not is worth reading carefully — and, far more often than not, worth doing nothing about.

Chevron's quarter is the one worth sitting with. Adjusted earnings of \$6.06 per share arrived well ahead of consensus on \$70.06 billion of revenue, with U.S. upstream volumes near 2.1 million barrels of oil equivalent per day, domestic refinery throughput above one million barrels per day, \$8.4 billion of debt retired inside the quarter, and \$1.5 billion of Hess synergies reached six months ahead of plan.

Management also disclosed a 2.67-gigawatt power arrangement with Microsoft — the same load-growth thesis that has anchored our utility and merchant-power positions, arriving this time from the energy side of the book. That is what a well-run asset does with a constructive price environment. The index up, our two sleeves marginally down, crude easing toward \$86: all of it is weather around a quarter like that.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

FTNT +4.99%

GROWTH

Follow-through from Wednesday's Q2 print: revenue of \$2.05 billion, up 26% year over year, non-GAAP EPS of \$0.90 against \$0.75 consensus, and full-year revenue guidance lifted to \$8.02–\$8.18 billion.

CNX +3.44%

GROWTH

Extended its post-beat advance as the energy complex outperformed a mixed tape; closed at \$35.80.

CRDO +2.94%

GROWTH

Merchant silicon held its bid after Amazon's cloud results and a 2026 capital-spending guide near \$220 billion.

DECLINERS

EIX -6.81%

GROWTH

Q2 core EPS of \$1.54 and reaffirmed guidance were overshadowed by management's warning that failure to enact California wildfire liability reform by the August 31 session deadline could pressure utility credit ratings.

NXPI -6.53%

GROWTH

The Financial Times reported NXP is in talks to acquire Ambarella; the target rose sharply while NXP shares carried the cost-and-fit question.

NVDA +2.93%

GROWTH

Closed at \$200.75 as this week's hyperscaler prints reaffirmed 2026 capital commitments across the four largest buyers.

CVX +2.38%

GROWTH

Adjusted earnings of \$6.06 per share on \$70.06 billion of revenue, record U.S. production and refinery throughput, \$8.4 billion of debt retired, and a 2.67-gigawatt power agreement with Microsoft.

SYK -6.42%

DIVIDEND

Adjusted EPS of \$3.69 beat consensus and full-year guidance moved slightly higher, but 9% organic revenue growth fell short of expectations.

MARA -4.23%

GROWTH

Bitcoin traded below \$63,000 as momentum behind U.S. crypto market-structure legislation faded; IBIT closed -2.89% and ETHA -3.03%.

AEM -3.64%

GROWTH

Gold eased 1.28% to \$4,107.50 as long-end Treasury yields climbed through the session.

HOLDINGS NEWS

NextEra lifts its Florida large-load forecast. NextEra Energy raised the data-center and large-load demand forecast at Florida Power & Light to 8 gigawatts by 2032 from 6, with roughly 21 GW of interest in the pipeline and 12 GW in advanced discussions; management expects to announce at least one transaction under FPL's new large-load tariff before year-end. The company also secured full ownership of the Duane Arnold nuclear plant in Iowa, tied to a long-term power agreement with Google. Fully served, the incremental load implies roughly \$16 billion of regulated infrastructure investment. Shares closed at \$86.92, -1.15% — the load-growth thesis expressed through rate base rather than merchant pricing, and priced accordingly.

Qualcomm's Apple transition accelerates. Following Wednesday's fiscal third-quarter report, Qualcomm disclosed that its modem share in Apple's next iPhone will land materially below the 20% previously guided, with Apple-related revenue stepping down beginning in the fiscal fourth quarter. Management expects non-handset revenue growth to accelerate from roughly 24% in fiscal 2026 to more than 60% in fiscal 2027, led by data-center products, and will raise prices from September 1 to pass through supply-chain cost increases. Shares closed at \$147.61, -2.63%. The Android, automotive and data-center replacement is the entire question here; the timeline is the risk, and it is a known one.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+19.26%

vs DVY +16.01% / SPY +10.09%

GROWTH PORTFOLIO

+13.92%

vs IUSG +10.32%